

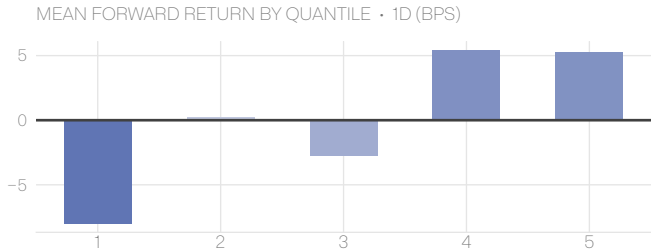
Margin Risk

Crowded, highly-leveraged long positions get washed out by cascading liquidations – a structural drag that the factor systematically shorts.

The factor capitalises on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets.

Margin Risk predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price. Data is aggregated from the top 10 most reputable exchanges.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques employed to keep it both stable and relevant, as well as survivorship-bias free.



To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The factor is available (point-in-time) with hourly updates, 5 minutes past the hour (UTC).

EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

Report Period Start Date Jan 2021 • End Date May 2026

Gross Rate of Return

1M	3M	1Y	3Y	5Y
0.0%	4.1%	28.8%	201.5%	395.8%

Annual Performance (%)

2021	2022	2023	2024	2025	YTD
214.9%	43.4%	10.4%	90.8%	40.0%	-0.7%

Since Inception

SI
1222.2%

RISK & RETURN PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y
22.3%	20.4%	23.2%	28.5%

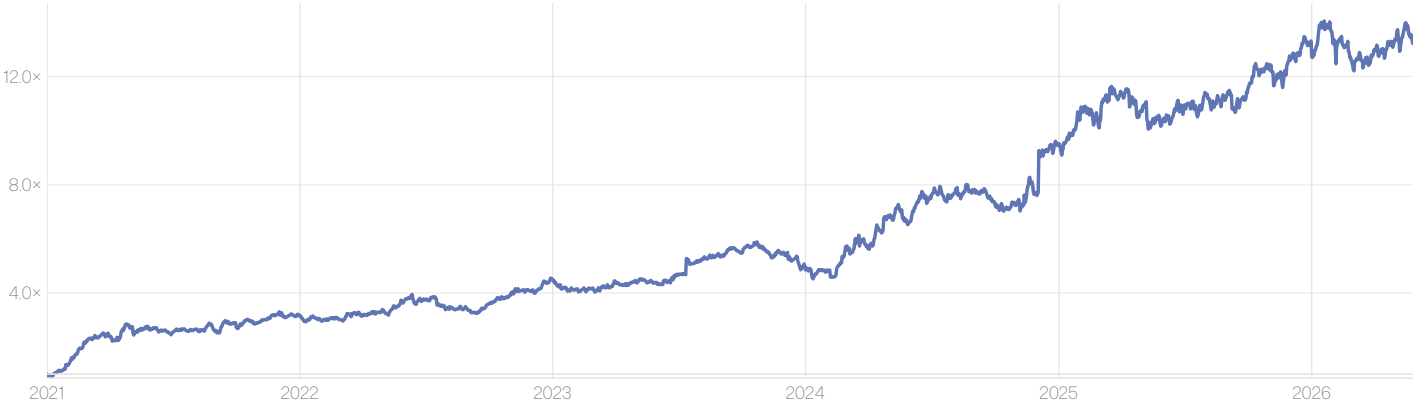
Return-to-Risk Ratio

1M	3M	1Y	3Y
0.00	0.20	1.24	7.06

Max Drawdown

%	Date
-23.2%	2024-01-12

CUMULATIVE RETURN



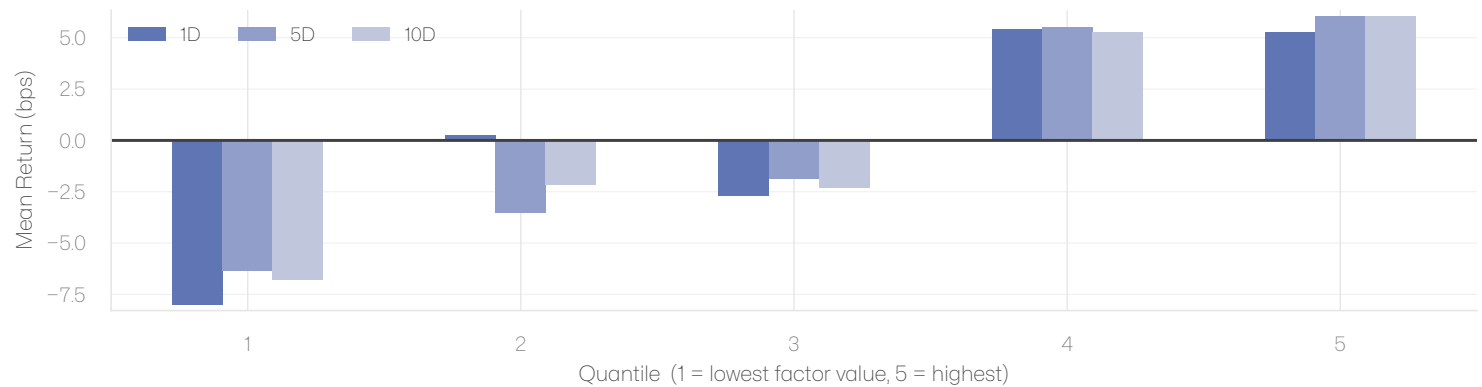
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Factor Analysis

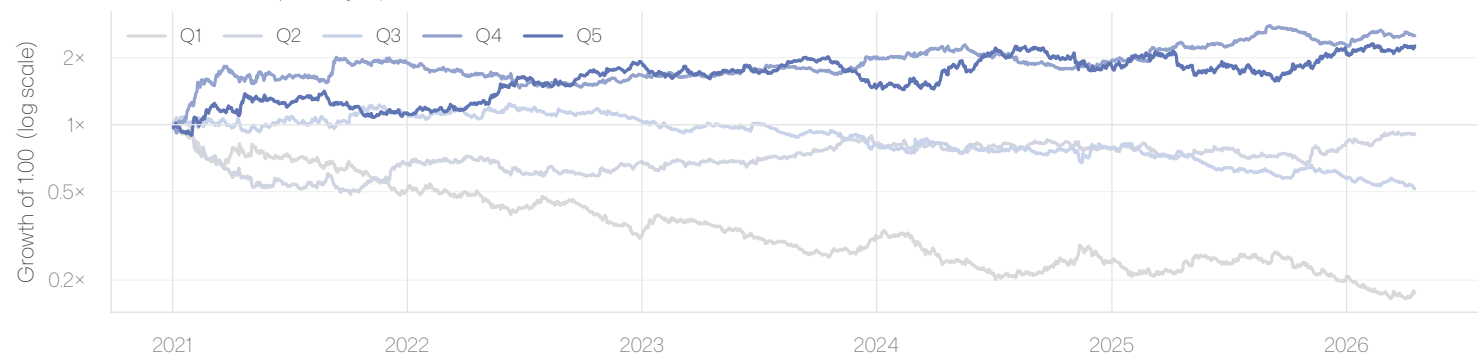
[Download Factor Data \(CSV\)](#)

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

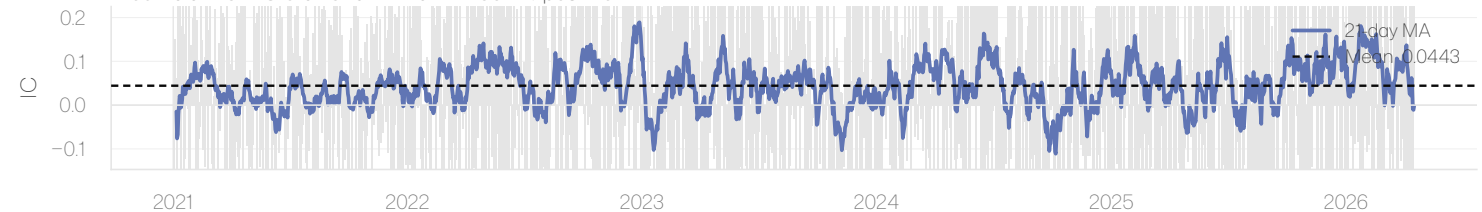


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0443 • Std 0.2670 • IR 0.17 • 56.4% positive • 1D



ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at unravel.finance; see the materials below.

[View this factor on unravel.finance](#)
[Replication notebook – backtest in AlphaLens](#)

Have further questions? [Book a call with our team – unravel.finance/booking](https://unravel.finance/booking)

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